

CHAPTER 4 - The Risk Parity and All Seasons Portfolios

“I know that there are good and bad environments for all asset classes. And I know that in one’s lifetime, there will be a ruinous environment for one of those asset classes. That’s been true throughout history.” – Ray Dalio, founder Bridgewater Associates

“Today we can structure a portfolio that will do well in 2022, even though we can’t possibly know what the world will look like in 2022.” – Bob Prince, co-CIO Bridgewater Associates

Risk parity is a term that focuses on building a portfolio based on allocating weights based on “risk” rather than dollar weights in the portfolio. While the general theory of risk parity isn’t something particularly new, the term was only coined within the past decade and became in vogue in the past few years. Risk is defined in different ways but volatility is a simple example. As an illustration, the 60/40 stocks and bonds portfolio doesn’t have 60% of total overall risk weighted to stocks, rather, more like 90% since stock volatility dominates the portfolio’s overall total volatility.

Risk parity has its roots in the modern portfolio theory of Harry Markowitz. While introduced in the 1950s, it eventually earned him a Nobel Prize. The basic theory suggested the concept of an efficient frontier – the allocation that offers the highest return for any given level of risk, and vice versa. When combined with the work of Tobin, Treynor, Sharpe, and others the theory demonstrates that a portfolio could be leveraged or deleveraged to target desired risk and return parameters. Many commodity trading advisors (CTAs) have also been using risk- or volatility-level position-sizing methods since at least the 1980s.

Ray Dalio’s Bridgewater, one of the largest hedge funds in the world based on assets under management, was likely the first to launch a true risk parity portfolio in 1996 called All Weather. Many firms have since launched risk parity products. While the underlying construction methods are different, the broad theory is generally the same.

We are not going to focus too much on risk parity since Bridgewater and others have published extensively on the topic, and you will find several links at the end of this chapter. Three primer papers to read are “The All Weather Story,” “The Biggest Mistake in Investing,” and “Engineering Targeted Returns and Risks”— all of which can be found on the [Bridgewater website](#).